Luca can fund its next growth leap from operations; the plan's real risk is execution

LUCA AT A GLANCE

EdTech SaaS for K–12 education in Latin America

One of the fastest-growing startups in Mexico, selling its learning platform and video content to schools.

STAGE

Post-Series A · $1.5M monthly revenue ($18M a year run-rate) · growing 6% a month

AMBITION

Reach unicorn status within 7 years and expand globally.

ROLE OF THE CHIEF OF STAFF

Support that growth with financial insight, scalable systems, strong execution and compliant international operations.

What the board needs to know

GROWTH

$1.5M → $2.85M monthly revenue

$25.3M over 12 months; annual run-rate ≈ $34M by Month 12.

PROFITABILITY

54% operating margin; cash $3.0M → $16.6M

Every month is cash-positive. Gross margin slips 65% → 60% (≈$712k of gross profit forgone).

HIRING

25 hires in M1–M6: 10 senior, 15 junior

Seniors first, then juniors. People cost settles at $121k/month from M6.

LOAN

Recommendation: do not take the €500k loan

Cash never drops below $3.9M without it. The loan adds interest cost and EUR exposure for no runway benefit.

WATCH

Gross margin and cash collection

Each 1 pt of gross margin = $28k/month by M12. The model assumes schools pay in the month invoiced.

Revenue nearly doubles and every month generates cash; cost of revenue, not headcount, drives cost

REVENUE TRAJECTORY

$1.5M → $2.85M

+6% a month, compounding · $25.3M over 12 months

GROSS MARGIN TREND

65% → 60%

Equal monthly steps · $712k gross profit lost vs. flat 65%

MONTHLY BURN

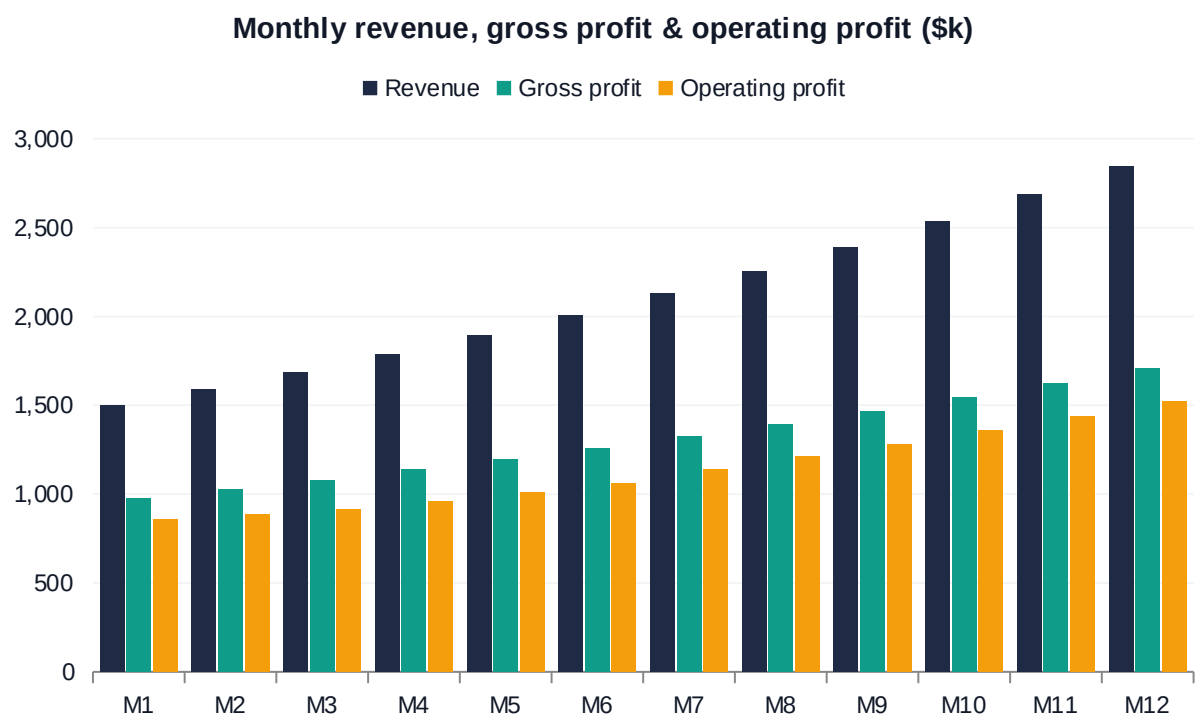
None: cash-positive

Cash generated: +$857k (M1) → +$1,522k (M12)

RUNWAY

Not a constraint

Cash $3.0M → $16.6M without loan; $17.0M with it



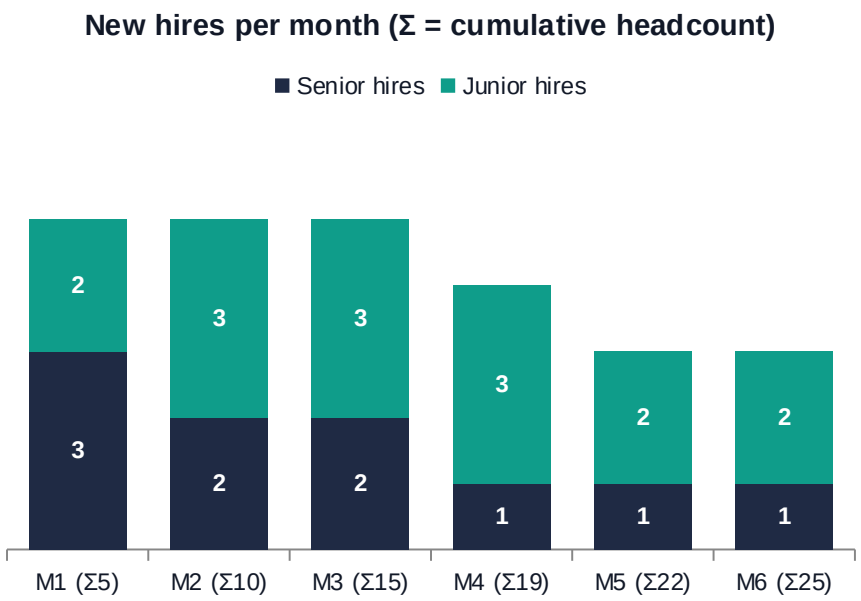
Main cost drivers and how they evolve

Cost line	M1	M12	12m total	Share	M1→M12
Cost of revenue	$525k	$1,139k	$9.57M	82%	+117%
People (salary + benefits + hiring)	$58k	$121k	$1.35M	12%	+110%
Overhead (+15% over 12m)	$40k	$46k	$0.52M	4%	+15%
G&A / Legal (fixed)	$20k	$20k	$0.24M	2%	+0%

- **Cost of revenue is 82% of all costs** and more than doubles as revenue grows and margin compresses. Unit cost of content and delivery is the lever that matters most.
- **Headcount is a small share**: the 25 hires cost $1.35M in year 1. People cost peaks in M6 ($139k, the last month with hiring fees), then stays flat.
- **Large safety margin**: costs outside cost of revenue are only ≈$187k/month, so revenue would have to fall below ≈$0.31M/month before Luca burns cash.

3 · RECOMMENDED HIRING PLAN

25 hires front-loaded to M1–M3: seniors first, then juniors where production is constrained



Suggested allocation	Hires (S/J)	Operational capacity it adds
Content production	10 (2/8)	Script, design, motion, AI-video and sound capacity toward the 30 videos/week target, plus 2 leads to run the pipeline
Sales	4 (2/2)	New-school pipeline and closing to sustain 6% monthly growth
Customer success	5 (1/4)	Onboarding and renewals as the customer base roughly doubles
Product & engineering	3 (3/0)	AI content tooling to cut cost per video and protect gross margin
Finance, legal & ops	3 (2/1)	Monthly close, cash forecasting, international compliance
Total	**25 (10/15)**	**New-hire headcount 5 → 25 by M6**

Why this shape

- **Seniors early (8 of 10 by M4)** so they can set up processes and onboard the juniors who follow.
- **About 5 hires a month** at most, so each new person can be onboarded properly; it slows to 3 a month in M5–M6.
- **60% junior** keeps the average cost at $4.8k per head and builds a bench for promotion.

PEOPLE COST M1
$58k

RUN-RATE FROM M6
$121k/mo

ONE-OFF HIRING COST
$150k

RUN-RATE AS % OF M12 REVENUE
4.2%

To make the plan realistic we need a hiring engine, one source of truth, and spend & cash controls

PROCESSES

- **Before M1** — **Hiring engine**: role scorecards, structured interviews and a weekly pipeline review to sustain 5 hires a month.
- **Before M1** — **30-60-90 onboarding**: every junior gets a senior buddy, with goals set in week 1.
- **By M2** — **Monthly close in 10 working days**, plus a rolling 13-week cash forecast and a monthly board KPI pack.
- **By M2** — **Invoicing & collections cadence**: the plan assumes schools pay in the month invoiced, so late payments need to be chased early.

SYSTEMS

- **Before M1** — **HR & payroll system** able to onboard 25 people in 6 months, plus an applicant tracking system for the hiring funnel.
- **By M2** — **Accounting system** with Mexican e-invoicing and multi-currency, ready for international entities.
- **By M3** — **CRM as the single source of truth** for pipeline → contracts → billing, feeding a weekly dashboard.
- **By M2** — **Content production tracker** with stage deadlines and work-in-progress limits (see Execution deck).

CONTROLS

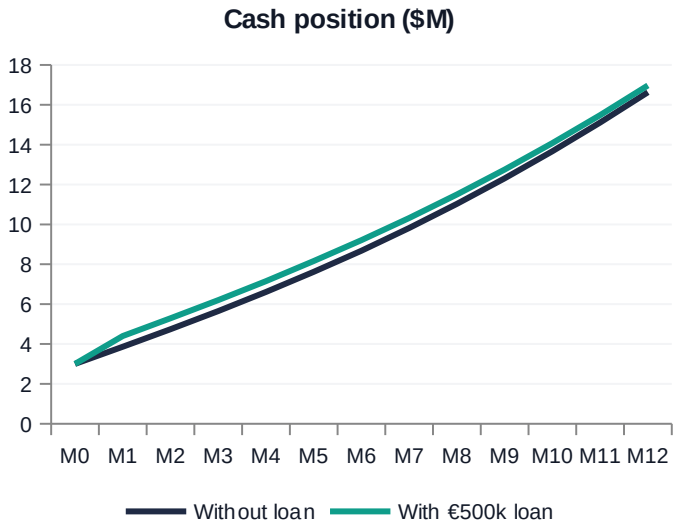
- **Before M1** — **Headcount gate**: hire only against the approved 25-role plan; any change needs CEO sign-off and a cost note.
- **Before M1** — **Spend approval limits** by amount, dual sign-off on payments, and a monthly vendor review.
- **Monthly** — **Gross margin guardrail**: track cost per customer and per video. If margin is below plan for 2 months, run a cost review.
- **By M6** — **International compliance**: entity and tax set-up and data protection for minors before selling outside Mexico.

Owner model: the Chief of Staff runs the operating cadence (weekly leadership KPIs, monthly business review, quarterly board pack). Each function head owns their hiring, budget and deadlines.

Don't take the €500k loan: Luca doesn't need the cash, and it adds cost and FX risk

RECOMMENDATION

Decline the loan. Revisit only if a real cash need appears, such as expansion spending in euros.



Month 12	No loan	With loan
Cash	$16.63M	$16.97M
Loan still owed	–	$372k
Cash minus loan	$16.63M	$16.60M
Lowest cash (12m)	$3.86M	$4.40M

The loan adds $550k of cash, about 3% of Month-12 cash, and leaves Luca $31k worse off after interest.

- **Runway:** Luca generates cash every month. Runway is not limited with or without the loan.
- **Cost:** $43k of interest over 24 months ($31k in year 1), with $372k still owed at Month 12.
- **Risk:** the debt is in euros, but revenue isn't. If the euro rises by $0.10, repayments cost ≈$54k more.
- **Flexibility:** not borrowing keeps the balance sheet clean for a future equity round or a better-matched facility.

Two risks leadership should monitor monthly

1 Gross margin falling faster than plan

- The plan already assumes 65% → 60%. Each extra point lost costs ≈$28k/month by M12.
- **Watch:** monthly gross margin %, cost per customer, cost per finished video.
- **Act if:** margin is below plan 2 months in a row → cost review (suppliers, AI tooling for content, pricing).

2 Growth and cash collection

- 6% monthly growth compounds; small slips add up. The model also assumes schools pay in the month invoiced: a 30-day delay would tie up about one month of revenue ($1.5M–$2.8M).
- **Watch:** monthly growth, sales pipeline, customer churn, days to collect payment.
- **Act if:** growth is below 4% for 2 months → pause the M5–M6 hires and review the plan.

Note: runway isn't a real constraint in this case. Luca generates $0.9–1.5M of cash every month (about $13.6M over the 12 months), and I don't have the company's overall cost base: the model only includes the 25 new hires, overhead and G&A.